LTL Tiered Quote SOP

Owner: Jericho Freight	**Effective Date: 08/25/26**
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General Information

Description / Objective	Teach any teammate how to build a volume-ladder LTL quote, how each tier and chart is calculated, and how to show a customer that shipping more pallets at once can lower the price per pallet.
Assignee	Santiago Rendon

Glossary

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1. What a tiered quote is

1.1 Kid picture

Think of a lemonade stand with a sign: 1 cup is $3, a small pitcher is cheaper per cup, a big pitcher is cheaper still. You are not selling one cup. You are selling a menu so the customer can see that buying more at once is a better deal.

This builder is for customers who ship again and again, or who can combine two small shipments into one bigger one. It is not the best tool for 'I have exactly 6 pallets tomorrow' unless you also want to show them the whole ladder.

2. How to open it

2.1 Click path

Home screen, LTL, then Tiered Quote. The header should say LTL Tiered Quote Builder. There is a link to the single shipment builder if you are in the wrong place.

3. Customer and previous quotes

3.1 Same rules, different memory

Include customer on quote works like the other modes. Load Previous Quote on this page only lists LTL tiered snapshots. It will not load a single-shipment LTL quote, because the boxes are different (tiers and scenarios vs one pallet count).

4. Route and miles

4.1 Lane first

Fill origin city, origin ZIP, destination city, destination ZIP. Click Calculate Distance. Miles are stored and reused on Generate. Miles feed cost per pallet-mile and the carbon story. The four tier prices themselves are numbers you type. The app does not invent the $ per pallet from Google.

5. Pricing templates and four tiers

5.1 The ladder

Quick start buttons load Standard, Premium, or Economy starter numbers. You can still edit every box. They are helpers, not laws.

Tier 1 Small is 1 pallet. This is the most expensive per pallet because the truck still has to show up for a tiny shipment.

Tier 2 Standard is 2 to 5 pallets.

Tier 3 Medium is 6 to 10 pallets.

Tier 4 Large is 11 to 14 pallets (the chart often caps at 14 even though a 53-foot van can hold about 26).

The form checks that prices step down as volume goes up: Tier 1 should be greater than Tier 2, which should be greater than Tier 3, which should be greater than Tier 4. If they are not, Generate stops you. A ladder that goes up when you buy more would confuse the customer.

6. How the app picks a tier for a pallet count

6.1 The rule is a staircase, not a blend

1 pallet uses Tier 1. 2 through 5 use Tier 2. 6 through 10 use Tier 3. 11 and up use Tier 4.

Shipment cost for a count = that count x the matching per-pallet price. There is no averaging between rungs.

Which price applies?

If pallets = 1, use tier1. If pallets are 2 to 5, use tier2. If pallets are 6 to 10, use tier3. Otherwise use tier4.

Tiny example: tier1 $360, tier2 $280, tier3 $220, tier4 $180. Eight pallets cost 8 x $220 = $1,760. One pallet costs $360. Fourteen pallets cost 14 x $180 = $2,520.

7. Analysis settings

7.1 What those extra numbers do

Requested volume is the pallet count you think they will actually ship. It drives the highlighted point on the chart and the quoted cost saved in history.

Annual demand is how many pallets they move in a year. It feeds EOQ, which asks 'what size order is cheapest if we also count storage?'

Max trailer pallets defaults to 26 (a full van). Max chart pallets defaults to 14 so the picture stays readable.

Transit mean and standard deviation work like the single builder. Sample size is how many past trips we pretend we have. More samples make the day window a bit tighter.

Carbon baseline trips vs optimized trips is a simple story: if they used to send 2 trucks and now send 1, carbon_reduction_pct = (2-1)/2 x 100 = 50%.

8. Scenarios and current vs recommended cost

8.1 Three stories on one page

Each scenario has a title, a description, a recommended pallet count, and an optional current practice (how many shipments of how many pallets they do today).

Recommended cost = recommended pallets x the tier price for that count.

Savings vs buying those same pallets at the expensive Tier 1 price = (pallets x tier1) - recommended cost. That is the 'you already saved vs the worst rung' story.

Current cost, if you filled frequency and pallets per ship, = frequency x pallets per ship x the tier price for that small size. Compare that to one combined shipment to show consolidation.

Scenario dollars

recommended cost = pallets x price_for(pallets)

savings vs tier 1 = (pallets x tier1 price) - recommended cost

current cost = current frequency x current pallets per ship x price_for(current pallets per ship)

Tiny example: 8 pallets at $220 = $1,760 recommended. Same 8 at $360 = $2,880. Savings vs worst rung = $1,120. If they currently ship 2 times with 4 pallets at the 2-5 price $280, current cost = 2 x 4 x 280 = $2,240. Combining to 8 pallets at $220 = $1,760. They save $480 vs their current habit.

9. Phantom consolidation

9.1 Paying less by shipping a little more

Sometimes 5 pallets at the 2-5 price costs more than 6 pallets at the 6-10 price. That feels like a trick, but it is real when the per-pallet drop is steep.

The app checks: cost at the requested count vs cost at the first count of the next cheaper tier. If the next tier's total is lower, it shows phantom consolidation: add a few dummy or real pallets and pay less overall.

If the next tier would cost more, the warning stays hidden. Do not invent extra pallets unless the customer can actually fill them.

Phantom check

current total = requested quantity x this tier's price

optimized total = first pallet count of next tier x next tier's price

Show the tip only if optimized total is smaller. Savings = current total - optimized total.

Tiny example: 5 pallets at $280 = $1,400. 6 pallets at $220 = $1,320. Shipping one extra pallet is $80 cheaper. Tell the customer clearly: they get more freight on the truck and a lower invoice.

10. EOQ matrix

10.1 Economic order quantity in kid words

EOQ asks: if you buy too often, you pay lots of freight. If you buy too much at once, the goods sit in a warehouse and that costs money too. The sweet spot is in the middle.

The textbook shape is square root of (2 x yearly demand x cost to place/move a shipment / yearly holding cost). The app then rounds to a whole pallet count between 1 and the chart cap, and maps it to a label like Weekly or Monthly.

If holding cost is zero, the math would say 'ship the maximum every time,' so the app just picks the cap.

The matrix repeats this for a few weekly storage dollar columns so you can say 'if storage is cheap, bigger orders win.'

11. Supply metrics, carbon, and the chart

11.1 Numbers on the analytics block

Cost per pallet-mile uses the cheapest rung: tier4 / miles. That is a 'if they always buy large' efficiency number.

Utilization percent = chart pallets / max trailer pallets x 100. At 14 of 26, that is about 54%. You can tell the customer there is still room on a full truck if they ever go FTL.

Consolidation multiplier = tier1 / tier4. If 360/180 = 2, one lonely pallet costs twice as much per pallet as a large shipment.

The chart plots price for pallet counts 1 through the chart max using the same staircase rule. It is a picture of the ladder.

CO2 uses the same truck formula as other modes: miles x tons x 0.162. Weight can come from an optional cargo weight field. If missing, it can fall back to pallets x 500 lb.

12. Generate and LTL-Q file name

12.1 Print

Generate Quote builds the HTML page. Print Quote sets the document title to LTL-Q plus the number, same as single shipment. Chrome's Save as PDF should offer LTL-Q4242.pdf, not 'LTL Freight Quote - Jericho Freight.'

Quoted cost stored in history uses requested volume x the matching tier price.

13. Output fields and customer value

13.1 How to walk the page

Volume-Based Pricing Structure is the menu. Customers need this to budget next month, not only today.

Unified Pricing and Consolidation Visualization is the chart. Point at the drop from 1 pallet to 6 pallets with your finger.

Optimum Shipping Recommendations are the three scenarios. Read the current practice vs recommended cost out loud.

Advanced Supply Chain Metrics hold transit windows, EOQ, carbon, and phantom tips. Use them with supply-chain buyers. Skip them with a one-time shipper who only cares about Friday's pickup.

The 30-day validity line means the ladder can change with fuel and capacity. Do not promise forever prices.

14. Common mistakes

14.1 Watch-outs

Putting the same dollar amount in every tier. Then the ladder is fake and phantom consolidation will never appear.

Loading a single-shipment previous quote in your head onto this form. Use this page's picker only.

Forgetting that 11-14 still uses tier4 even if the trailer could hold 26. If they have 20 pallets, talk FTL instead of stretching this chart.

Selling phantom extra pallets the customer cannot fill. The math can be true and still be the wrong advice.

Definitions	
Tier	A price rung. More pallets, lower price per pallet.
Consolidation	Combining small shipments into one bigger shipment.
Phantom consolidation	Adding just enough pallets to fall into a cheaper rung and pay less overall.
EOQ	Economic order quantity. A sweet-spot size balancing freight cost vs storage cost.
Utilization	How full the trailer is. 14 of 26 pallets is about half a van.
LTL-Q	Print file prefix shared with the single shipment LTL quote.

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